SBA 7(A) & 504 · THE OWNER'S GUIDE

Own your *building*.

The plain-English guide to buying the property your business runs from with SBA financing — the real 10%-down math, 7(a) vs 504 without the jargon, the honest timeline, and the worksheet to run your own numbers.

“Every month you rent, you're paying a mortgage — your landlord's.”

1 · The case for owning

Rent rises at renewal; a fixed-rate mortgage doesn't. Rent buys nothing; principal payments build equity in an asset your business — and eventually your retirement — owns. And an SBA structure means you don't need the 25–30% down payment a conventional commercial loan asks for. With as little as **10% down**, the monthly cost of owning is often startlingly close to the rent you already pay.

2 · 7(a) vs 504, plainly

	SBA 7(a)	SBA 504
Best for	Flexibility — property plus working capital, equipment, or business purchase in one loan	Pure real estate & heavy equipment — bigger projects, fixed rates
Structure	One bank loan, SBA-guaranteed	50% bank + 40% CDC/SBA + 10% down
Rates (July 2026, indicative)	From ~6.75%, often variable	CDC portion fixed, from ~5.95%
Typical size	Up to $5M	Up to ~$5.5M SBA portion — projects well beyond
Down payment	From 10%	From 10% (15% for startups/special-use)

Rule of thumb: buying a building and nothing else → 504's fixed rate usually wins. Building plus working capital or a business purchase → 7(a)'s flexibility wins. We price both and show you the comparison.

3 · The real 10%-down math

A worked example — $1.2M building on a 504 structure, figures illustrative:

Line	Amount
Bank first mortgage — 50% · ~6.75% / 25yr	$600,000 → ~$4,145/mo
CDC/SBA second — 40% · ~5.95% fixed / 25yr	$480,000 → ~$3,070/mo
Your down payment — 10%	$120,000
Total monthly (before taxes & insurance)	~$7,215
Comparable market rent for the same space	$7,500–$9,000/mo

Similar monthly outlay — but ~$1,900 of that payment is principal in year one: money moving from your left pocket to your right instead of to a landlord. Plus depreciation, plus rate certainty on the fixed portion, plus the option to lease spare space to a tenant.

4 · Do you qualify? The honest checklist

- **Owner-occupancy:** your business must occupy at least 51% of the property (60% for new construction). Pure investment property doesn't fit SBA — that's a DSCR or commercial loan instead.
- **Time in business:** two-plus years makes everything smoother; younger businesses need stronger projections and usually more down.
- **Credit:** roughly 620+ opens standard programs; 680+ gets the smoothest ride.
- **Down payment:** ~10% of the total project (building + improvements + fees), from savings or business cash flow.
- **Cash flow:** the business should show it can cover the new payment — recent tax returns and interims tell that story.

5 · The honest timeline

Phase	Duration	What makes it faster
Pre-qualification & terms	3–7 days	Documents ready (see checklist)
Underwriting & appraisal	3–6 weeks	Responsive answers; realistic purchase contract dates
SBA approval & closing	2–4 weeks	504 adds CDC step; 7(a) with a PLP lender is faster
Total, realistically	45–90 days	Write 75+ days into your purchase contract

6 · Documents checklist

- Three years' business tax returns + current interim financials
- Three years' personal tax returns for 20%+ owners
- Personal financial statement · business debt schedule
- Purchase contract or letter of intent on the property
- Entity documents (articles, operating agreement, EIN)

7 · The rent-vs-own worksheet

Five minutes, your real numbers:

i Your current monthly rent ______________________ × 12 = annual rent ______________________

ii Expected annual rent increase at renewal (3–5% is typical) ______________________

iii Ten-year rent total at that increase ______________________ *iv* Target building price ______________________ × 10% = down payment needed ______________________

v Estimated monthly ownership cost (we'll price this for you) ______________________

vi Principal built in year one ______________________ (we calculate this with your quote)

Want lines v and vi filled in for real? That's the 15-minute call — we run your numbers both ways, 7(a) and 504, and tell you honestly which fits. Reply to the delivery email, call +1 (800) 555-0100, or book at stonehavencre.com/book.html.